



Faculty of Business
School of Accounting Economics and Finance

Student to complete:

Family name
Other names
Student number
Table number

ACCY111 **Accounting Fundamentals in Society** **Wollongong Campus**

SOLUTIONS Final Examination Paper **Autumn Session, 2014**

Exam duration	3 hours
Items permitted by examiner	UOW approved calculator
Aids supplied	nil
Directions to students	All questions to be answered. Questions are worth different marks.

This exam paper must not be removed from the exam venue

Question 1

The following account balances are from the ledger of S. Gill, architect, at 31 January 2014. The accounts are not listed in any particular order. The firm's accounting year began on 1 January. All accounts had normal balances.

Prepaid Insurance	\$ 320
Insurance Expense	80
Supplies on Hand	560
Advertising Expense	230
S. Gill, Capital 1 January	21 000
Cash	9 500
Accounts Payable	480
Rent Expense	720
Supplies Expense	350
Electricity Expense	140
Service Fees	9 420
Accounts Receivable	16 500
Salaries Expenses	1 800
S. Gill, Drawings	700

Required:

- a) Prepare a trial balance from the given data.

**S Gill, Architect
Trial Balance
31 January 2014**

Prepaid Insurance	320	
Insurance Expense	80	
Supplies on Hand	560	
Advertising Expense	230	
P Wells - Capital		21 000
Cash	9 500	
Accounts Payable		480
Rent Expense	720	
Supplies Expense	350	
Electricity Expense	140	
Service Fees		9 420
Accounts Receivable	16 500	
Salaries Expense	1 800	
P Wells - Drawings	700	
	<u>30 900</u>	<u>30 900</u>

½ mark each correct account – (total 7 marks)

Correct total (1 mark)

TOTAL 8 marks

Question 2

(20 marks)

Firelights Displays is a graphic design firm providing art services to publishers and advertisers. It has the following accounts in its general ledger:

Cash
Accounts Receivable
Supplies on Hand
Office Equipment
Accounts Payable
O. Harper, Capital
O. Harper, Drawings
Fees Earned
Rent Expense
Telephone and Electricity Expense
Salaries Expense

Required

Record the following transactions for June in General Journal form. Include narrations

June	1	O. Harper invested \$18 000 cash to begin the business
	2	Paid rent for June \$750
	3	Purchased office equipment on account, \$6 300
	6	Purchased art materials and other supplies costing \$2 100, paid \$1 000 down with the remainder due within 30 days.
	11	Billed clients for services, \$2 800
	17	Collected \$1 750 from clients
	19	Paid \$3 150 on account to office equipment firm (see 3 June)
	25	O. Harper withdrew \$800 for personal use
	30	Paid telephone and electricity accounts for June, \$140
	30	Paid salaries for June, \$1 600.



June 1	Cash	18,000	
	O. Harper, Capital		18,000
	To record owner's investment		
June 2	Rent Expense	750	
	Cash		750
	Paid June rent		
June 3	Office Equipment	6,300	
	Accounts Payable		6,300
	Purchased office equipment on account		
June 6	Supplies on Hand	2,100	1,000
	Cash		1,100
	Accounts Payable		
	Purchased \$2,100 of supplies; \$1,000 down with balance due in 30 days		
June 11	Accounts Receivable	2,800	
	Fees Earned		2,800
	Billed clients for services.		
June 17	Cash	1,750	1,750
	Accounts receivable		
	Collections from clients		
June 19	Accounts Payable	3,150	
	Cash		3,150
	Payment on account		
25	O. Harper, Drawing	800	
	Cash		800
	Personal withdrawal by owner.		
30	Telephone & Electricity	140	
	Cash		140
	Paid bill.		
30	Salaries Expense	1,600	
	Cash		1,600
	Paid salaries for June		

2 marks each correct entry (1 mark each debit and credit side – student must get both amount and account correct) (total 20 marks)
Up to Minus 2 in total if narrations incorrect or omitted.

TOTAL 20 marks

**Question 3 (10 marks)**

Dani's Gaming Computer Parts is a business that buys wholesale video cards and motherboards for high end gaming machines, and retails them via its office in Sydney. Dani always purchases from her suppliers on the terms EXW (place of seller's business) and usually sells to customers on the basis of cash at point of sale. Assume the use of a periodic system and ignore GST.

The following events occurred in the first week of April 2014 for Dani's Gaming Computer Parts:

- April 2 Purchased a batch of video cards for \$22,000 on credit, terms 1/10, n/30 EXW San Diego, from KR Electronics, a firm operating in San Diego. Freight costs were \$400.
- 4 Dani's Gaming Computer Parts sold and delivered motherboards to the head office of the DOTA online gaming tournament organisers in Seattle in June 2014, for \$35 000 cash. The Freight cost was \$750. Freight terms were DDP Sydney.
- 7 Dani's Gaming Computers paid KR Electronics for the video cards purchased on 2 April.

Required:

Record the transactions above in the general journal of Dani's Gaming Computer Parts.





Dani's Gaming Computer Parts

General Journal

2014

Apr	2	Purchases	22 000	
		Accounts Payable		22 000
		Purchase Discounts Payable from KR Electronics, EXW		1 300
		Freight Inwards	400	
		Cash at Bank		400
		Freight costs incurred		
	4	Accounts Receivable/Cash at Bank	35 000	
		Sales		35 000
		Sale to DOTA tournament, terms DPP Sydney		
		Freight Outwards	750	
		Cash at Bank		750
		Freight costs on sale to DOTA tournament		
	7	Accounts Payable	22 000	
		Discount Allowed		220
		Cash at Bank		21780
		Payment of cash to supplier KR Electronics		

2 marks each correct entry (1 mark each debit and credit side – student must get both amount and account correct) (total 20 marks)
Up to Minus 1 in total if narrations incorrect or omitted.

QUESTION 4

(Total 10 Marks)

The Unadjusted Trial Balance of Tom's Plumbing Service showed the following accounts and their balances as at 31 May 2014:

Unearned Revenue	\$ 2 500	Accumulated Depreciation - Equipment	\$ 14 450
Wages Expense	\$ 44 200	Equipment	\$52 200
Plumbing Revenue	\$ 102 000	Prepaid Rent	\$2 600
Rent Expense	\$6 450	Telephone Expense	\$ 4 500

Additional Information:

- a) Depreciation on the equipment for the year is \$10 440.
- b) The Rent Expense account contains \$350 for July.
- c) A telephone bill of \$230 for June has been received but has not been paid.
- d) Wages to the value of \$1 700 have been earned but will not be paid until July.
- e) Unearned plumbing services revenue of \$2 000 is now considered to have been earned as at 30 June.

Required:

- a) Set up T-accounts for the accounts listed above, with their opening balances.

4 marks if all correct. -.5 for each incorrect balance (eg on wrong side of account). No negative marking

- b) Enter the adjusting information directly into the T-accounts.

2 marks each posted entry – 1 mark for each correct debit and one mark for each correct credit side of the entry

- c) Balance each of the T-accounts.

Full marks if balanced correctly. -.5 for each incorrect balance. No negative marking.



SOLUTIONS

Equipment	
Balance	<u>52 200</u>

Accum Depr - Equipment	
Balance	14 450
Depr Exp	<u>10 440</u>
	<u>24 890</u>

Depreciation Expense – Equipment	
Acc Dep	<u>10 440</u>

Unearned Revenue	
Plumbing Rev	2 000
Balance c/d	<u>500</u>
	<u>2 500</u>
Bal b/d	500

Plumbing Revenue	
Balance	102 000
Unearned Rev	<u>2 000</u>
	<u>104 000</u>

Prepaid Rent	
Balance	2 600
Rent Expense	<u>350</u>
	<u>2 950</u>

Rent Expense	
Balance	6 450
Prepaid Rent	350
P&L Summary	<u>6 100</u>
	<u>6 450</u>

2

Telephone Payable	
Telephone Exp	<u>230</u>

Telephone Expense	
Balance	4 500
Tel Payable	<u>230</u>
	<u>4 730</u>

Wages Payable	
Wages Expense	<u>1 700</u>

Wages Expense	
Balance	44 200
Wages Payable	<u>1 700</u>

Question 5

(Total 12 marks)

Consider the following statements for Black Sheep Company for the past two years:

Black Sheep Company
Comparative Income Statements
For years ended 30 June 2014, and 30 June 2013
(Thousands of Dollars)

	30 June 2014	30 June 2013
Assets:		
<u>Current Assets:</u>		
Cash at Bank	\$ 15 000	\$ 9 000
Accounts Receivable (net of Provision for Doubtful Debts)	34 000	30 000
Inventory	72 000	68 000
Prepaid Expenses	11 000	7 000
Total Current Assets	132 000	114 000
Plant and Other Non-Current Assets (net)	320 000	270 000
Total Assets	\$ 452 000	\$ 384 000
<u>Liabilities and Equity:</u>		
Current Liabilities	\$ 52 000	\$48 000
Mortgage	150 000	100 000
Total Liabilities	202 000	148 000
<u>Equity</u>		
Total Equity	\$ 250 000	\$ 236 000
Total Liabilities and Equity	\$ 452 000	\$ 384 000

Black Sheep Company
Comparative Income Statements
For the years ended 30 June 2014 and 2013
(Thousands of Dollars)

	30 June 2014	30 June 2013
Sales Revenue	\$ 520 000	\$ 460 000
Cost of Sales	348 400	299 000
Gross Profit	171 600	161 000
Operating Expenses, excluding finance costs	98 200	91 000
Finance Costs	18 000	12 000
Profit before income taxes	\$ 55 400	\$ 58 000
Income tax expense	15 900	17 000
Profit	\$ 39 500	\$ 41 000

Required

- a) Calculate showing all formulae and workings (to 1 decimal place) for the 2014 financial year:
- I. The current ratio for 2014 (2 marks)
 - II. Inventory turnover (2 marks)
 - III. Equity ratio (2 marks)
 - IV. Return on assets (2 marks)
 - V. Profit margin (2 marks)
 - VI. Debt Ratio (2 marks)



SOLUTIONS

- I. Current Ratio = $\frac{\text{Current Assets}}{\text{Current Liabilities}}$ = $\frac{132\,000}{52\,000}$
= 2.5:1
- II. Inventory Turnover = $\frac{\text{Cost of Sales}}{\text{Average Inventory Balance}}$ = $\frac{348\,400}{(72\,000 + 68\,000)/2}$
= 5 times per year
- III. Equity Ratio = $\frac{\text{Total Equity}}{\text{Total Assets}}$ = $\frac{250\,000}{452\,000}$
= 0.553 or 55.3%
- IV. Return on Assets = $\frac{\text{Profit before income tax + finance costs}}{\text{Average total Assets}}$
= $\frac{(55\,400 + 18\,000)}{(452\,000 + 384\,000)/2}$
= 0.17559 = 17.6%
- V. Profit Margin = $\frac{\text{Profit (after income tax)}}{\text{Revenues}}$
= $\frac{39\,500}{520\,000}$
= ..75962 = 7.6%
- VI. Debt Ratio = $\frac{\text{Total Liabilities}}{\text{Total Assets}}$ = $\frac{202\,000}{452\,000}$
= 0.4469 or 44.7%

2 marks each.

1 /2 mark if formula correct but answer wrong

1 mark if formula and components correct but answer astray, e.g. wrong decimal point etc.



Question 6 (20 marks)

Following is an extract of a worksheet for Bright Smiles Dental Surgery relevant to the year ended 30 June 2014.

Description	Adjusted Trial Balance	
	Dr.	Cr.
Cash	3 250	
Accounts Receivable	3 700	
Supplies on Hand	4 300	
Prepaid Insurance	1 800	
Equipment	96 500	
Accumulated Depreciation		14 500
Accounts Payable		3 800
Wages Payable		950
Unearned Revenue		1 500
Dr Toothe, Capital		49 100
Dr. Toothe, Drawings	1 600	
Revenue Earned		81 600
Wages Expense	28 250	
Rent Expense	3 600	
Advertising Expense	2 730	
Travel Expense	820	
Supplies Expense	2 300	
Insurance Expense	600	
Depreciation Expense	2 000	
TOTAL	<u>151 450</u>	<u>151 450</u>

Required

- Construct an Income Statement for Bright Smiles Dental Surgery (10 marks)
- Construct a Balance Sheet for Bright Smiles Dental Surgery (10 marks)



**Bright Smiles Dental Surgery
Income Statement
For the Year Ended 30 June 2014**

Revenue		
Revenue Earned		\$81600
Expenses		
Wages Expense	28250	
Rent Expense	3600	
Advertising Expense	2730	
Travel Expenses	820	
Supplies Expense	2 300	
Insurance Expenses	600	
Depreciation Expense	<u>2000</u>	
Total Expenses		<u>40300</u>
Net Income		<u>41300</u>

1 mark each number – total ten.

Deduct up to 2 marks if setting out poor. If the only problem with the setting out is no heading, deduct 1 mark only.

**Bright Smiles Dental Surgery
Balance Sheet
30 June 2014**

Assets		Liabilities	
Cash	\$3250	Accounts Payable	3800
Accounts Receivable	3700	Wages Payable 950	
Supplies on Hand	4300	Unearned Revenue	<u>1500</u>
Proposed Insurance	1800	Total Liabilities	\$6 250
Equipment	96500		
Less: Accumulated		Owner's Equity	
Depreciation	<u>14500</u>	C. Thorp, Capital	88 800
	82,000	Total Liabilities and	<u>Owner's Equity</u>
Total Assets	<u>\$95050</u>		<u>\$95050</u>

Deduct up to 2 marks if setting out poor. If the only problem with the setting out is no heading, deduct 1 mark only.

**Question 7**

Identify and describe four examples of internal controls in an accounting system

(Could be but not limited to:)

- Good organisational culture
- Clearly established lines of responsibility
- Separation of record keeping and custodianship
- Division of responsibility for related transactions
- Mechanical and electronic devices eg locks and biosecurity, swipe cards etc
- Adequate insurance
- Internal auditing
- Programming controls
- Physical controls
- Pre-numbered documents
- Use of subsidiary ledgers and reconciliations on accounts.

Identify and describe two limitations of internal controls in an accounting system.

- Costs of establishing a secure system may exceed the expected benefits derived.
- Excessive security may be met with negative responses from customers.
- The size of the organisation may affect the effectiveness of internal controls – e.g. may not be sufficient staff for full division of labour in related transactions.
- Even the best internal controls can break down, e.g. staff indifference or fatigue, or carelessness.
- Separation of duties does not negate collusion
- Computer fraud done by specialists and not easy to detect.

Part (a)

1 mark each internal control identified. One additional mark for the description attached to each of these. Total, 8 marks.

Part (b) One mark for each limitation identified, and one mark for the description attached to each of these. Total, 4 marks.

TOTAL QUESTION 12 marks.